2.1 – Government and the economy

Subject content	What learners need to study:
2.1.1 Macroeconomic objectives	a) Economic growth: • definition of economic growth • measurement using increases in gross domestic product (GDP) • limitations of GDP as a measure of growth • the use of diagrams to show the economic cycle: annotating boom, downturn, recession and recovery • the effect of each stage of the economic cycle on economic growth, inflation and unemployment • the impact of economic growth on: o employment o standards of living o poverty o productive potential o inflation o the environment. b) Low and stable inflation: • definition of inflation • definition of deflation • measurement using consumer price index (CPI) • types of inflation: o demand pull o cost push. • relationship between inflation and interest rates • impact of inflation on: o prices o wages o exports o unemployment o menu costs o shoe leather costs o uncertainty o business and consumer confidence

Subject content	What learners need to study:
	c) Low unemployment: • definition of unemployment • measurement of unemployment using International Labour Organization (ILO) measure • types of unemployment: o cyclical o structural o seasonal o voluntary o frictional. • impact of unemployment on: o output o use of scarce resources o poverty o government spending on benefits o tax revenue o consumer confidence o business confidence o society. d) Surplus or balance on the current account of the balance of payments: • definition of current account on the balance of payments • current account deficits and surpluses • trade in goods (visibles) and services (invisibles) • relationship between current account and exchange rates • examples of real-world exchange rates • reasons for deficits and surpluses: o quality of domestic goods o quality of foreign goods o price of domestic goods o price of foreign goods o exchange rates between countries.

Subject content	What learners need to study:
	• impact of current account deficit: o leakage from the economy o can be inflationary if prices rise abroad o low demand for our exports o problems finding foreign reserves to fund the deficit. e) Protection of the environment: • business activity that damages the environment • ways businesses damage the environment: o visual pollution, including litter o noise pollution o air pollution o water pollution. • government intervention to protect the environment: o taxation o subsidy o regulation o fines o pollution permits o government provision of parks. f) Redistribution of income: • definition of income inequality • definition of absolute poverty • definition of relative poverty • reasons to reduce poverty and inequality: o meet basic needs o raise standards of living o ethical reasons. • government intervention to reduce inequality and poverty: o progressive taxation o redistribution through benefit payments o investment in education and healthcare.